



Amended IPOs are *dilution traps*



The illusion *of high* demand

Retail traders view an **Amended IPO Registration Statement** as proof of institutional momentum. In reality, an S-1/A filing frequently signals regulatory resistance, lowered offer prices, or toxic capital structures designed to offload early venture risk directly onto retail public markets.



The structural *warrant trap*

Underwriters insert heavy warrant coverage into amended micro-cap filings to guarantee institutional yields. While retail buys common shares at public listing, legacy insiders lock in structural upside using derivative sweetener deals that silently dilute secondary market investors from **day one**.



Retail becomes *exit liquidity*

When issuers revise offering terms, institutions secure preferred pricing while public traders buy at market open. This order flow mismatch creates immediate structural distribution, leaving public equity buyers to absorb heavy insider liquidation as **lockup exemptions** trigger.



The math *of equity* drag

A **30% share supply explosion** from amended warrant exercises forces a company to generate 43% higher earnings just to maintain baseline earnings-per-share. This structural dilution compounds negative momentum, systematically destroying long-term retail capital regardless of sector tailwinds.



The institutional *audit rule*

Never trade pre-IPO hype on micro-cap issuers without auditing the prospectus. Check the **Dilution Table** for net tangible book value per share and inspect Item 15 for toxic warrant coverage before allocating capital to high-risk public market offerings.



The 3-step *prospectus audit*

First, compare the original S-1 against the S-1/A share count. Second, calculate net insider acquisition costs versus retail IPO price. Third, confirm whether debt conversion terms include variable pricing resets. Execute this **3-step audit** before entering micro-cap listings.



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